

China Semiconductors

## Montage Technology

Rating

**Outperform**

Price Target

688008.CH

400.00 CNY

6809.HK

520.00 HKD



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## Montage: 1H26 beat; Korean investigation unlikely to alter fundamentals

### 1H26 preliminary results beat from revenue to profit, despite an FX headwind.

Montage's 1H26 revenue grew 26.6% YoY to RMB3.34Bn, 3.1% above BBG consensus and 0.6% above our forecast. At the midpoint, net income attributable to shareholders rose 72.6% YoY to RMB 2.0Bn. The midpoint net margin expanded 1,596 bps YoY to 60%, thanks to the positive contribution of fair-value gains on investments and asset disposal income. Importantly, RMB results understate the underlying business momentum: Montage prices its products in USD, while continued RMB appreciation reduced reported revenue growth.

### Maintain Outperform.

### We don't expect the Korean authority investigation to have a material impact on

**Montage's fundamentals.** Neither the company nor its executives currently face allegations of wrongdoing, and customer orders remain unaffected. Most importantly, we see limited commercial rationale for price manipulation, and so far no fact supports that as well. Montage cuts prices annually over the lifecycle of a product generation; and memory interface chips price have not increased even during the current surge of memory prices. These chips account for only <1% of a DDR module's selling price, leaving memory manufacturers with little incentive to push for lower price as the quality matters more than price, which is the core reason for high margin. Therefore, we see limited risk to Montage's pricing, revenue, or margin. In our bear case, the investigation may result in a one time nonrecurring loss, rather than any fundamental changes.

**The 30% correction in Montage's A-share over the past month reflects a thematic memory sell-off, but we believe the market has a misunderstanding to Montage's fundamentals.** Some profit-taking is understandable after shares had risen 168% YTD in the peak. However, memory interface chip pricing does not move with memory ASP, so concerns over the sustainability of memory price surge have limited relevance to Montage's earnings. The more important driver is memory bit shipment growth used in server driven by CPU volume growth, which continues to expand steadily. We therefore see the current sector-driven correction as disconnected from Montage's underlying volume and earnings drivers. Upcoming earnings from global server CPU vendors should bring more positive sentiment. We suggest buying the dip.

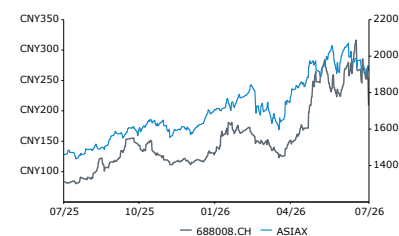
| Reported EPS    | F25A | F26E | F27E |
|-----------------|------|------|------|
| 688008.CH (CNY) | 1.97 | 3.21 | 5.68 |
| 6809.HK (CNY)   | 1.97 | 3.21 | 5.68 |

Source: Bloomberg, Bernstein estimates and analysis.

|                             |                        |
|-----------------------------|------------------------|
| Close Date                  | 17 Jul 2026            |
| 688008.CH Close Price (CNY) | 183.60                 |
| Price Target (CNY)          | 400.00                 |
| Upside/(Downside)           | 118%                   |
| 52-Week Range               | 332.90/81.66           |
| ASIAx                       | 1,921.27               |
| FYE                         | Dec                    |
| Div Yield                   | 0.4%                   |
| Market Cap (CNY) (M)        | 226,894                |
| EV (CNY) (M)                | 210,151                |
| Performance                 | YTD 1M 6M 12M          |
| Absolute (%)                | 55.9 (30.1) 28.8 112.8 |
| ASIAx (%)                   | 17.5 (5.8) 11.9 32.1   |
| Relative (%)                | 38.4 (24.2) 16.8 80.7  |

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



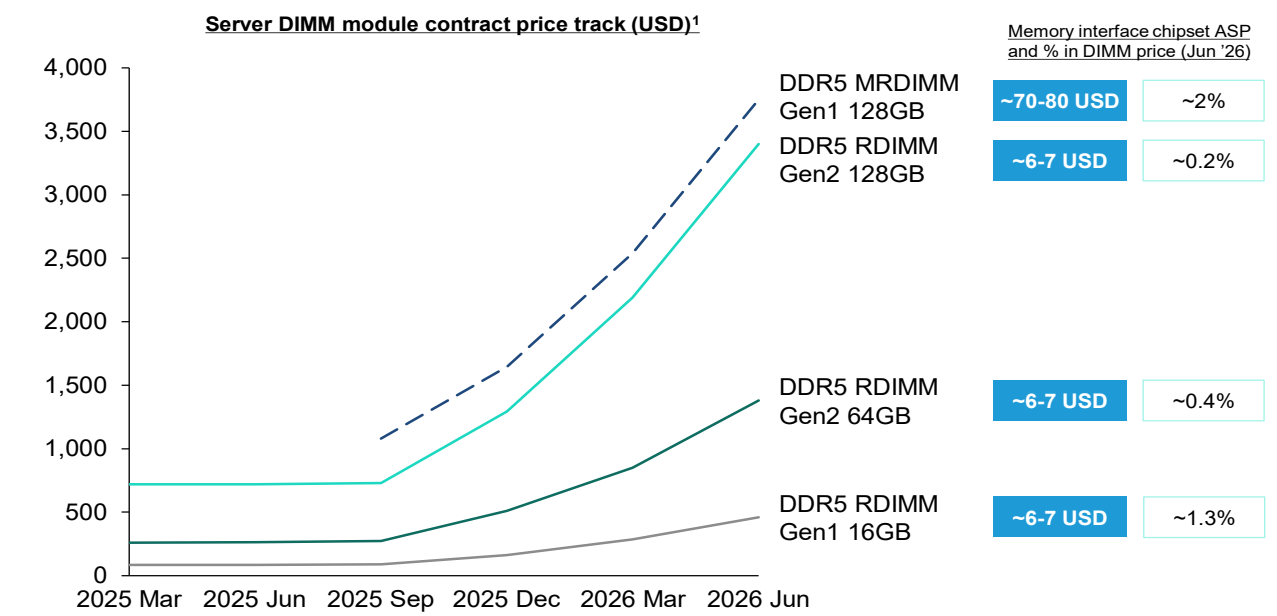
| Valuation Metrics | F25A | F26E | F27E |
|-------------------|------|------|------|
| Reported P/E (x)  | 93.2 | 57.3 | 32.3 |

EXHIBIT 1: **Montage 1H26 preliminary results beat consensus and our forecast across the board**

| Montage 1H26 Preliminary Results           |              |              |              |
|--------------------------------------------|--------------|--------------|--------------|
|                                            | Midpoint     | Low          | High         |
| <b>Revenue</b>                             | <b>3,335</b> |              |              |
| YoY                                        | 26.6%        |              |              |
| <b>Bern. Rev.</b>                          | <b>3,316</b> |              |              |
| YoY                                        | 25.9%        |              |              |
| <i>Actual vs. Bern.</i>                    | 0.6%         |              |              |
| <b>Consensus Rev.</b>                      | <b>3,234</b> |              |              |
| YoY                                        | 22.8%        |              |              |
| <i>Actual vs. Cons.</i>                    | 3.1%         |              |              |
| <b>Net Income (attributable)</b>           | <b>2,000</b> | <b>1,900</b> | <b>2,100</b> |
| YoY                                        | 72.6%        | 63.9%        | 81.2%        |
| <b>Bern. Net Income</b>                    | <b>1,717</b> |              |              |
| YoY                                        | 48.2%        |              |              |
| <i>Actual vs. Bern.</i>                    | 16.5%        | 10.6%        | 22.3%        |
| <b>Consensus Net Income</b>                | <b>1,689</b> |              |              |
| YoY                                        | 45.7%        |              |              |
| <i>Actual vs. Cons.</i>                    | 18.4%        | 12.5%        | 24.3%        |
| <b>Net Profit Margin</b>                   | <b>60.0%</b> | <b>57.0%</b> | <b>63.0%</b> |
| <i>VS. last year</i>                       | 1596bps      | 1296bps      | 1896bps      |
| <b>Bern. NPM</b>                           | <b>51.8%</b> |              |              |
| <i>Actual vs. Bern.</i>                    | 818bps       | 519bps       | 1118bps      |
| <b>Cons. NPM</b>                           | <b>52.2%</b> |              |              |
| <i>Actual vs. Cons.</i>                    | 774bps       | 474bps       | 1074bps      |
| <b>Recurring net Income (attributable)</b> | <b>1,350</b> | <b>1,250</b> | <b>1,450</b> |
| YoY                                        | 23.7%        | 14.5%        | 32.9%        |
| <b>Recurring net profit Margin</b>         | <b>40.5%</b> | <b>37.5%</b> | <b>43.5%</b> |
| YoY                                        | (95bps)      | (395bps)     | 205bps       |

Source: company report, Bloomberg, Bernstein analysis and estimates

EXHIBIT 2: **Memory interface chips account for only an LSD portion of module costs, limiting pricing pressure to interface chip suppliers**



MRDIMM remains a niche product without an established contract pricing track record. The MRDIMM pricing shown in the chart is an estimate based on public information; in general, we estimate MRDIMM enjoys a \$300-350 markup over RDIMM at the same capacity  
Source: TrendForce, Bernstein analysis and estimates

## INVESTMENT IMPLICATIONS

We rate Montage Outperform, with A-Share TP at CNY 400, and H-Share TP at HKD 520.

## BERNSTEIN TICKER TABLE

| 17 Jul 2026         |        |     |          |        | TTM   | Reported EPS |       |       |       | Reported P/E (x) |       |       |
|---------------------|--------|-----|----------|--------|-------|--------------|-------|-------|-------|------------------|-------|-------|
|                     |        |     | Closing  | Price  | Rel.  |              |       |       |       |                  |       |       |
| Ticker              | Rating | Cur | Price    | Target | Perf. | Cur          | 2025A | 2026E | 2027E | 2025A            | 2026E | 2027E |
| 688008.CH (Montage) | O      | CNY | 183.60   | 400.00 | 80.7% | CNY          | 1.97  | 3.21  | 5.68  | 93.2             | 57.3  | 32.3  |
| 6809.HK (Montage)   | O      | HKD | 255.00   | 520.00 | NA    | CNY          | 1.97  | 3.21  | 5.68  | 111.8            | 68.7  | 38.8  |
| ASIAx               |        |     | 1,921.27 |        |       |              |       |       |       |                  |       |       |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We set our **A-share TP at CNY 400**, based on **50x 2BF P/E** (27Q3–28Q2 earnings). We raise our 2027/2028 EPS estimates to CNY 5.68/10.82, respectively, on a stronger outlook for the CPU cycle and MRDIMM penetration. For the **H shares**, we set a target price of **HKD 520**, implying a **15% premium** to our A-share TP (we use the CNY to HKD exchange rate at 1:1.13). The H share premium reflects that global investors favor Montage as a scarce China AI-exposed name without direct geopolitical risks, unlike many other Chinese semiconductor companies that face entity list restrictions or export control headwinds. At our target price, the implied P/E multiple on 2BF EPS for H shares is 58x.

**RISKS****Montage Technology**

Key potential risks:

1. A decrease in memory and AIDC server demand;
2. Intensify competition that leads to share loss and lower margin;
3. Failure to introduce new products for the AIDC networking market.

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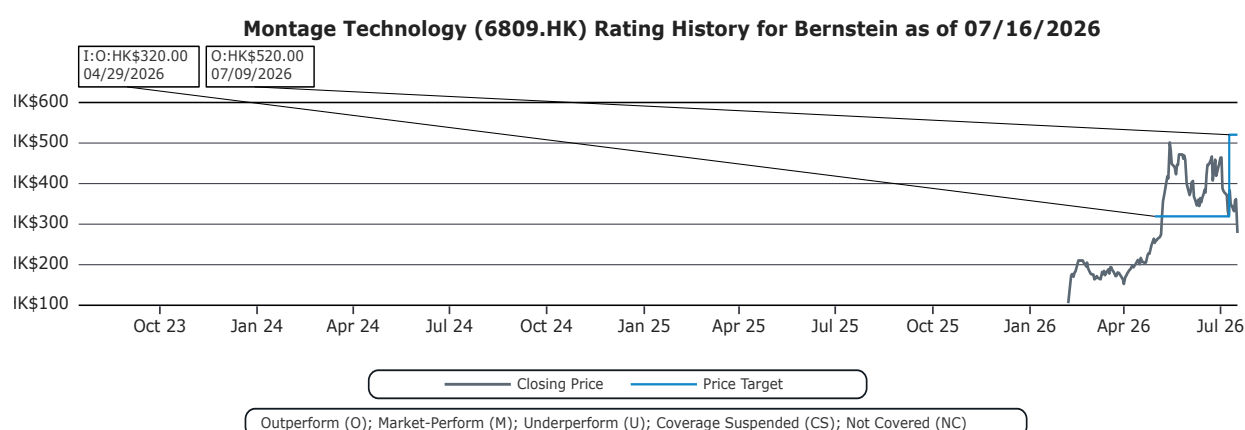
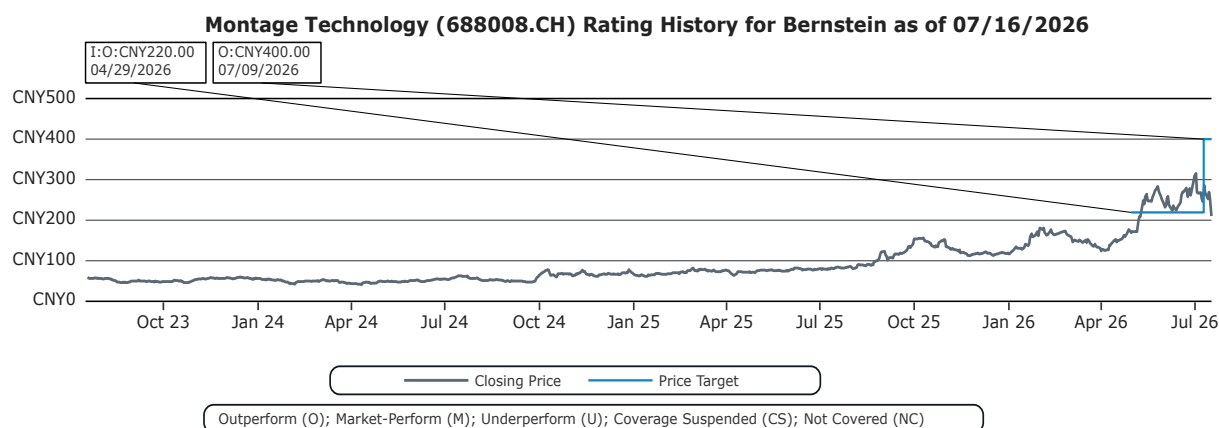
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|----------------------------------------------------------------|---------------------------------------------------------|----------------------------|-----------------------------------|
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| Market-Perform (Bernstein Brand)<br>Neutral (Autonomous Brand) | HOLD                                                    | 35.8%                      | 16.2%                             |
| Underperform                                                   | SELL                                                    | 13.1%                      | 13.6%                             |

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